THE 20-YEAR CYCLE

The 20-year cycle reflects the dramatic stock market lows of 1884, 1903, 1921, 1942, 1962 and 1982, as shown in Figure B-12. This cycle projects another low in the year 2002, coinciding with the outlook from the Kondratieff cycle.

THE 8- AND 12-YEAR CYCLES IN SECONDARY STOCKS

For most of this century, secondary stocks have exploded upward every eight and twelve years. The length of time that each advance carries depends upon the position of the stock market in its long term Elliott Wave structure. Take a look at Figure B-13, which shows the ratio of S&P's Low Priced Stock Index to its High Grade Stock Index and depicts the 8- and 12-year cycles underneath. The ideal years for 8-year cycle lows, with the actual dates in parentheses if different, are: 1934(33), 1942, 1950(49), 1958(57), 1966, 1974, 1982 and 1990. These dates coincide with the beginnings of soaring relative strength in secondary stocks. The 12-year cycle is less reliable but coincides well with the remaining lows.

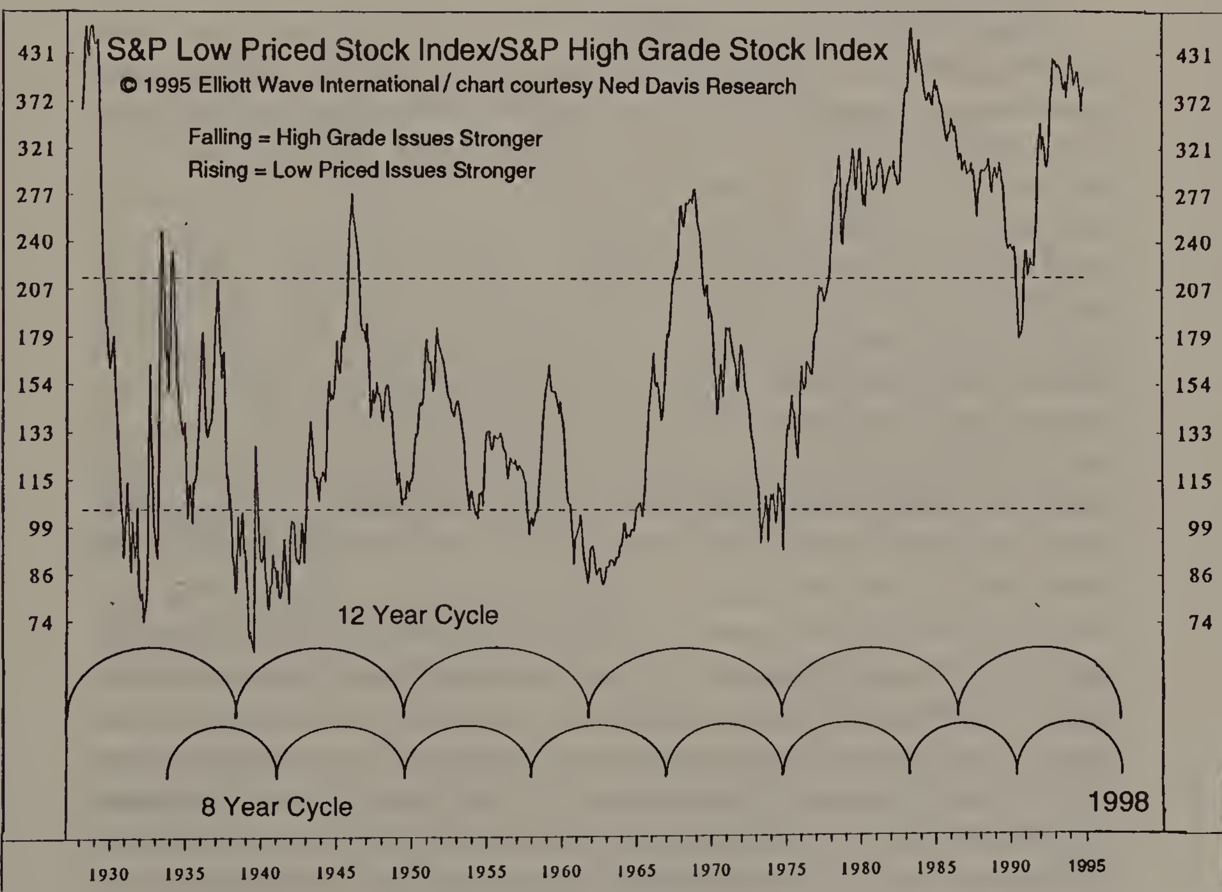

Figure B-13